

2 Peak

At this point, the demand stabilizes while supply keeps growing. Supply continues to attract investment. While supply is improving, the demand has reached its peak and supply will eventually surpass demand.

3 Recession

Gradually, we will enter the next phase i.e. recession where although the supply is growing, the total demand starts to decrease. At this stage, profits drop.

4 Depression

With time, the business cycle reaches a point where supply exceeds demand and profits are very low. Companies will incur losses and many industry players will exit the market as they struggle to survive and cover their production costs. As a result, the business cycle is in depression, where supply starts to fall.

5 Trough

At this stage, demand and supply are not in sync. Demand continues to decline till it reaches its lowest. The supply also declines at a slower rate, till it reaches its lowest. We refer to this phase as trough, which is the lowest point of the business cycle.

6 Recovery

Following the trough, the demand picks up. With time, the demand is equal to supply or can even surpass it as supply continues to decline. When there is significant demand, industry players will try to increase their supply due to which the cycle will eventually move back to the expansion phase.

Some industries have a business cycle of 4–5 years, while others have a cycle of 12–13 years. Tracking a business cycle takes a lot of effort, expertise and knowledge.